

The Numbers You Are Expected to Know



Thirty-two headline series, and what each one is really telling you.

Contents

01 Output and income

02 Prices and the price of money

03 The public balance sheet

04 The external accounts

05 People and work

06 Money and markets

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Thirty-two series. For each: the numbers, then the trajectory, the branches ahead, a precedent, and three questions.

BEFORE WE BEGIN

How to use these numbers

MAGNITUDE BEFORE DECIMAL

Know the order of magnitude, the rank, and the direction. The second decimal is what terminals are for.

EVERY RATIO HAS A DENOMINATOR

Debt/GDP falls when nominal GDP runs hot. Market cap/GDP rises when the numerator reprices. Ask which half moved.

ALWAYS STATE THE VINTAGE

Figures here are headline prints as at September 2026, rounded to what a person can carry in the head.

O I

Output and income

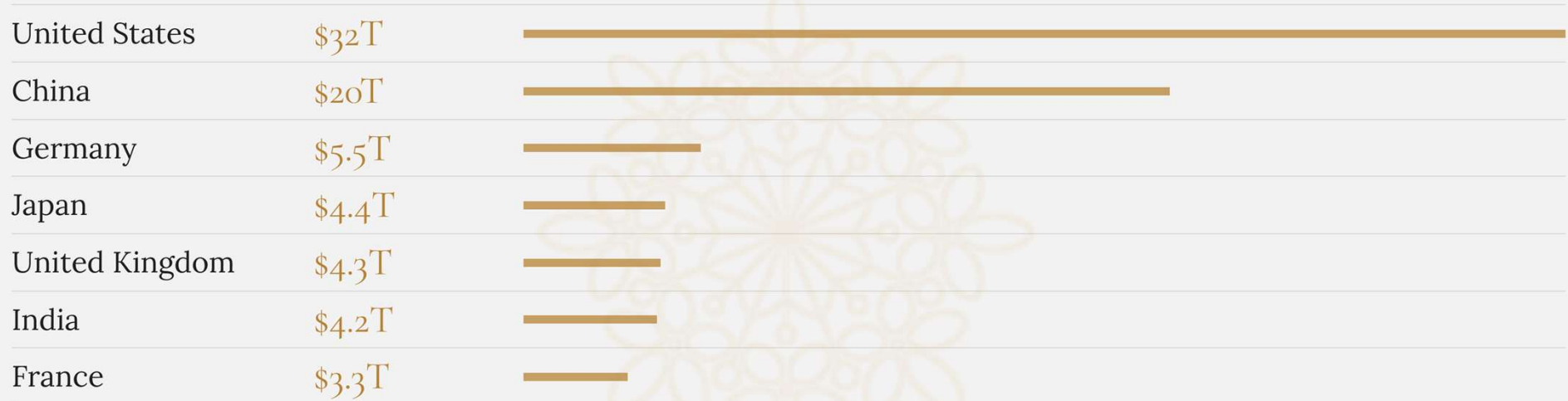


Nominal GDP · Ranking · PPP · Per capita · Real growth

METRIC 01 · OUTPUT AND INCOME

Nominal GDP

US dollars at market exchange rates, 2026 estimate · world output roughly \$126 trillion



METRIC 01 · NOMINAL GDP · COMMENTARY

RECENT TRAJECTORY

The post-2021 inflation burst flattered every nominal figure; the US added roughly a Germany to its GDP in four years.

India slipped from fourth to sixth in 2026 — a February data revision and a weaker rupee, not lost output; it passes Japan late 2026 or 2027.

DIRECTIONS OF TRAVEL

Slow convergence: China grows 5, US 2, currencies stable — the gap narrows over a decade, not a cycle.

Dollar-led reshuffle: a 15 per cent dollar decline lifts everyone else's dollar GDP without a single extra widget.

US-led divergence: AI capex and energy keep US nominal growth at 4-5 per cent and the share rises again.

PRECEDENT

1995: Japan reached about 71 per cent of US GDP in dollars. It has never been close since — a warning about extrapolating a currency-inflated peak.

2014: analysts dated China's overtaking to 2026. The date has moved out, not in.

1 · How much of the last decade's league-table movement was output, and how much was the dollar?

2 · What would China need — in growth, inflation or currency — to close a twelve-trillion gap by 2035?

3 · If a country's GDP doubles while its citizens are no better off, what exactly did you measure?

GDP ranking

By nominal GDP, 2026 estimate · the euro area as a single bloc would rank second

01	United States
02	China
03	Germany
04	Japan
05	United Kingdom

06	India
07	France
08	Italy
09	Canada · Brazil
11	Russia · Korea

Also carry: Indonesia around 15th on \$1.6T · Saudi Arabia around 18th · Nigeria outside the top 30 despite 240 million people.

METRIC 02 · GDP RANKING · COMMENTARY

RECENT TRAJECTORY

India: 11th in 2013, 5th in 2022, 4th in 2025-26. Two promotions came from growth, one from other people's currencies.

Japan and Germany have swapped third and fourth twice this decade on the yen alone.

DIRECTIONS OF TRAVEL

Third by 2029-30: India passes Germany on 6 per cent real growth and a stable rupee.

Stalled at fourth: a rupee sliding 3-4 per cent a year offsets the growth differential.

Bloc arithmetic: if the euro area is counted as one, the whole table is re-lettered.

PRECEDENT

1988: Japan was second and expected to be first. Ranking peaked with an asset bubble, not with productivity.

2007-2016: Brazil entered the top seven and left it, on commodities and the real.

1 · Can a country be promoted up this table while producing exactly the same output?

2 · What has to be true for India to be third, and by when?

3 · Which investment decision would you actually change if the ranking changed?

METRIC 03 · OUTPUT AND INCOME

GDP at purchasing power parity

International dollars, 2026 estimate · world total roughly \$200 trillion

	NOMINAL	AT PPP	UPLIFT
China	\$20T	\$44T	2.1×
United States	\$32T	\$32T	1.0×
India	\$4.2T	\$18T	4.3×
Japan	\$4.4T	\$6.9T	1.5×
Germany	\$5.5T	\$6.2T	1.1×

Order at PPP: China, United States, India, Russia, Japan, Germany, Indonesia, Brazil.

METRIC 03 · GDP AT PPP · COMMENTARY

RECENT TRAJECTORY

China passed the US on this measure in 2014 and is now about 1.4 times its size.

India has been third since 2009 and is roughly 8-9 per cent of world output at PPP.

DIRECTIONS OF TRAVEL

Uplift decays: as incomes converge, local prices rise and the PPP multiple falls towards one.

Revision risk: ICP benchmark rounds have moved India's PPP GDP by double digits overnight.

Political use: expect the measure quoted selectively by whoever it flatters.

PRECEDENT

2014 ICP round: China's PPP GDP was revised up so sharply that it changed the year it overtook the US.

1980s Soviet GDP was flattered by exactly this kind of adjustment; capacity is not the same as prosperity.

1 · Which decisions should use PPP, and which must use market rates?

2 · Why does the PPP uplift shrink as a country gets richer?

3 · Your salary in PPP terms or in dollars — which one do you actually spend?

METRIC 04 · OUTPUT AND INCOME

GDP per capita

Nominal US dollars per person, 2026 estimate

\$145k

Luxembourg

\$110k

Switzerland

\$95k

Singapore · Norway

\$90k

United States

\$75k

Qatar

\$65k

Germany

\$58k

United Kingdom

\$35k

Japan

\$14k

China

\$3k

India

RECENT TRAJECTORY

The US has pulled away from Europe: US per-capita income is now roughly 40 per cent above the euro area's, a gap that was half that in 2010.

Japan's dollar figure has fallen by a third since 2012 on the yen alone.

DIRECTIONS OF TRAVEL

Steady catch-up: India doubles per head every twelve years at 6 per cent – middle-income by the late 2040s.

Trapped: growth slips to 4-5 per cent as cheap labour runs out and convergence stalls.

Two Indias: the aggregate stays low while a 150-million-person top decile buys like Europe.

PRECEDENT

Korea went from 100 dollars a head in 1960 to 35,000 today – the only large economy to cross the whole distance in two generations.

Brazil has hovered near 9,000 dollars for forty years: the trap, illustrated.

1 · At 6 per cent a year, when does India reach today's Chinese income per head?

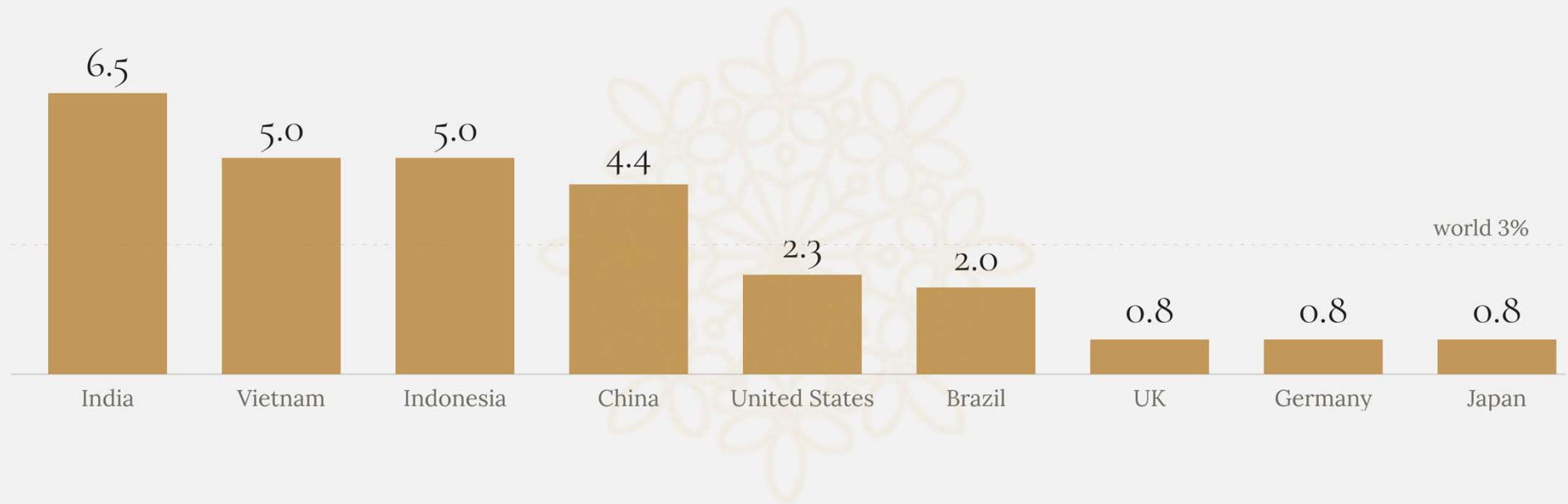
2 · What is the middle-income trap, and who has escaped it?

3 · Would you rather sell to the mean consumer or to the top decile – and what does that do to your valuation?

METRIC 05 · OUTPUT AND INCOME

Real GDP growth

Year on year, 2026 estimate · world growth roughly 3 per cent



METRIC 05 · REAL GDP GROWTH · COMMENTARY

RECENT TRAJECTORY

The post-pandemic pattern held: the US kept surprising up, Europe and Japan stagnated, China decelerated with property.

India has printed 6-8 per cent for four years, the fastest of any large economy.

DIRECTIONS OF TRAVEL

Productivity upside: AI capex lifts developed-world trend growth from 1.5 towards 2.5 per cent.

Fragmentation drag: tariffs and re-shoring shave a few tenths off world growth and add to prices.

Demographic gravity: shrinking workforces cap China, Europe and Japan regardless of policy.

PRECEDENT

China 1980-2010 averaged about 10 per cent — the fastest sustained run in recorded history, and it still ended.

Japan grew 4 per cent a year to 1990 and about 0.8 per cent since. Trend growth breaks; it rarely bends.

1 · Decompose India's 6.5 per cent into labour, capital and productivity. Which part is fragile?

2 · If you distrust China's 5 per cent, what would you check instead?

3 · Who is hurt more by slower growth — the equity holder or the bondholder of a government at 120 per cent debt?

O2

Prices and the price of money



Inflation · Policy rates · Ten-year yields · The curve · Exchange rates

Inflation

Headline consumer prices, year on year, latest prints · and the mandate each central bank is judged against

	LATEST	TARGET	POSITION
United States	3.4%	2% PCE, flexible average	Above target, energy-led; core near 2.4
Eurozone	3.3%	2% symmetric	Energy-led spike; core steady at 2.4
United Kingdom	2.9%	2% CPI	Above; BoE sees a 3.2% peak in Q4
Japan	1.9%	2% CPI	Back below target; core 1.8
India	4.5%	4%, band of 2-6	Rising on fuel; RBI sees 5.1% in FY27
China	1.0%	around 3% ceiling	Off the floor; deflator still weak

METRIC 06 · INFLATION · COMMENTARY

RECENT TRAJECTORY

From 9 per cent in the US and 10 in Europe in 2022 to roughly target by 2025 – the fastest disinflation without recession on record.

Then energy re-accelerated: US headline is back at 3.4 per cent with core near 2.4.

DIRECTIONS OF TRAVEL

Anchored: 2-2.5 per cent settles in and rates normalise near 3.

Structurally higher: tariffs, defence, energy transition and shrinking workforces keep the floor near 3 per cent.

Asian deflation: China exports disinflation through cheap manufactures.

PRECEDENT

1979-82: Volcker took Fed funds to 20 per cent and unemployment to 10 to break expectations. The cost of losing the anchor is the reason for the caution.

1990s Japan: mild deflation for two decades and a lost generation of nominal growth.

1 · Why 2 per cent? Who chose it, and why has nobody moved it?

2 · Why is Indian inflation a weather forecast and American inflation a wage forecast?

3 · Would you rather run an economy at 4 per cent inflation or at zero?

Policy interest rates

Headline overnight or benchmark policy rate, September 2026

3.50-3.75%

Federal Reserve

Fed funds target · on hold, with a hike
priced for this month

2.25%

ECB

Deposit rate · raised in June 2026, first
hike since 2023

3.75%

Bank of England

Bank rate · slow, wage-constrained easing

1.00%

Bank of Japan

Call rate · highest since 1995; another hike
expected

5.25%

Reserve Bank of India

Repo rate · held since December 2025,
neutral stance

1.40%

People's Bank of China

Seven-day reverse repo · easing into
deflation

METRIC 07 · POLICY RATES · COMMENTARY

RECENT TRAJECTORY

Zero to 5.5 per cent in eighteen months, then a slow retreat that stopped: with oil and tariffs lifting prices, the market now prices the next Fed move as a hike.

Japan left negative rates in 2024 after seventeen years.

DIRECTIONS OF TRAVEL

Hold through the shock: the Fed stays at 3.50–3.75 and cuts only once energy washes out.

Forced back up: tariff and wage pressure revives inflation and cuts are reversed.

Convergence from below: Japan grinds to 1.5 per cent and the carry trade keeps unwinding.

PRECEDENT

August 2024: a 25 basis point BoJ hike unwound the yen carry trade and took 12 per cent off the Nikkei in three sessions.

2015–2018: the Fed's last attempt to normalise stopped at 2.5 per cent and reversed within a year.

1 · What does restrictive mean, and how would you know when policy stops being it?

2 · What breaks in the world if the Bank of Japan reaches 2 per cent?

3 · India's real policy rate is the highest of the majors. Who pays for that, and who is paid?

Ten-year government bond yields

Local-currency benchmark, September 2026 · the discount rate under every valuation you will build



India	6.6%		Real yield near 2.6 per cent
United Kingdom	4.8%		Long end pressured by issuance
United States	4.8%		The global anchor — highest since October 2023
Italy	3.6%		Spread to Bunds near 70bp — a record low
Germany	3.0%		Repriced by the defence and infrastructure package
Japan	2.9%		Highest since 1996; it was 0.25 per cent in 2021
China	1.9%		Below the US — deflation, not safety

METRIC 08 · TEN-YEAR YIELDS · COMMENTARY

RECENT TRAJECTORY

0.5 per cent in 2020 to nearly 5 in 2023 — the worst bond bear market in two centuries — and no return to the old floor since.

Term premium is back: long yields have stayed high while policy rates fell.

DIRECTIONS OF TRAVEL

Normalisation: yields settle at 4-4.5 per cent as policy reaches neutral and issuance is absorbed.

Fiscal premium: deficits near 7 per cent push the long end towards 5.5-6 with a steeper curve.

Duration rally: a growth accident sends the ten-year back to 3 and everything long-dated re-rates.

PRECEDENT

September 2022: the UK mini-budget moved thirty-year gilts 130 basis points in three days and forced the Bank of England to intervene for pension funds.

1994: an unexpected Fed cycle sent the ten-year from 5.6 to 8 and bankrupted Orange County.

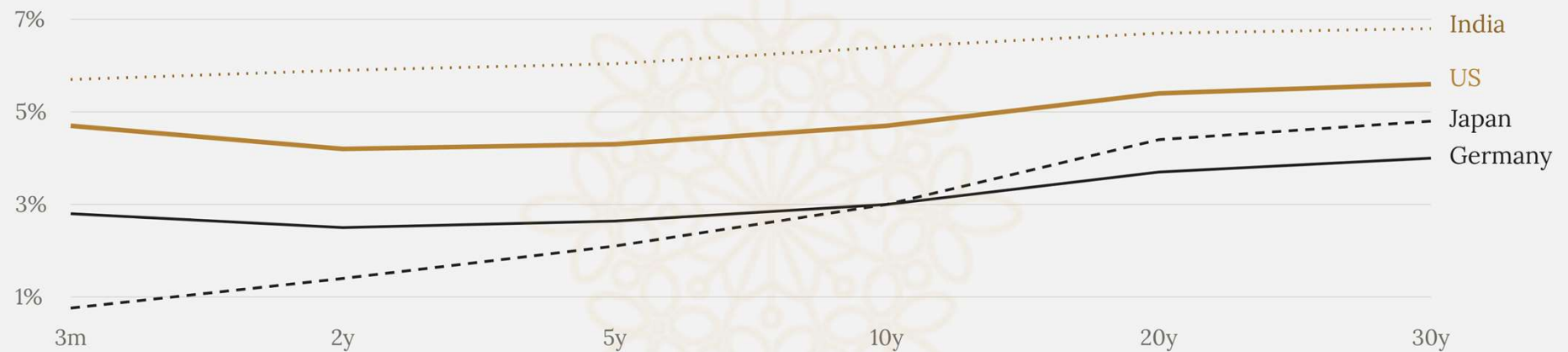
1 · When a ten-year yield rises, how do you tell growth from fear of supply?

2 · China borrows for ten years more cheaply than the United States. What is that telling you?

3 · Which of your holdings would you sell first if the US ten-year printed 6 per cent?

The shape of the curve

Government yields by maturity, September 2026 · US 2s10s about +40bp — flattening again as hikes get priced



METRIC 09 · THE YIELD CURVE · COMMENTARY

RECENT TRAJECTORY

The US curve inverted from mid-2022 to late 2024 — the longest inversion on record — and no recession followed.

It steepened as the Fed cut, and has flattened again now that the market prices hikes.

DIRECTIONS OF TRAVEL

Bull steepening: cuts continue, the front end falls, and banks and lenders re-rate.

Bear steepening: the long end sells off on supply — the uncomfortable version for every risk asset.

Re-inversion: an inflation upside surprise stops the cuts and the signal returns.

PRECEDENT

2006-07: inversion preceded the crisis by roughly eighteen months, long enough for everyone to decide it was different this time.

2016-2022: the BoJ pinned its ten-year at zero. Controlling a price does not remove the pressure behind it.

1 · Why should an inverted curve predict a recession at all?

2 · The 2022-24 inversion did not produce one. Was the indicator wrong, or the cycle?

3 · Steeper or flattener from here, and what would prove you wrong?

Exchange rates

Major crosses, September 2026 · dollar index near 99 as the hiking debate returned

	LEVEL	TWELVE MONTHS	WHAT DRIVES IT
USD / INR	95	Rupee weaker by 8%	Inflation gap, oil bill, RBI smoothing
EUR / USD	1.16	Euro firmer by 1%	Rate convergence, German fiscal turn
USD / JPY	154	Yen at a seven-month high	Carry gap, BoJ normalisation
GBP / USD	1.35	Sterling firmer by 2%	High rates against a twin deficit
USD / CNY	7.05	Yuan firmer by 1%	Managed fix, export competitiveness

Convention: EUR/USD and GBP/USD rise when the dollar weakens; USD/INR and USD/JPY rise when it strengthens.

METRIC 10 · EXCHANGE RATES · COMMENTARY

RECENT TRAJECTORY

The dollar has firmed again through 2026 as the Fed's easing cycle stalled and hike pricing returned.

The rupee has depreciated in a straight line: 62 to the dollar in 2014, 95 now.

DIRECTIONS OF TRAVEL

Managed slide: the RBI leans on FCNR(B) swaps and inflow incentives — more than \$136 billion between June and August 2026 — rather than rate hikes.

Dollar downcycle: hedging costs fall, emerging-market assets and gold outperform.

Safe-haven squeeze: a shock rebuilds dollar demand and every unhedged foreign return is cut.

PRECEDENT

2013 taper tantrum: the rupee fell from 55 to 68 in four months and India was named among the fragile five.

1985 Plaza Accord and 2015 China devaluation: the two times officials moved a major currency on purpose.

1 · Is the rupee's long slide a failure, or arithmetic?

2 · What return must Indian equities earn for a dollar investor to break even against 8 per cent depreciation?

3 · Can a central bank defend a currency it does not deserve — and for how long?

03

The public balance sheet

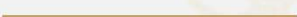
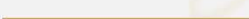


Debt · Deficits · Tax revenue · Who pays · At what rate · Ratings

METRIC 11 · THE PUBLIC BALANCE SHEET

General government debt to GDP

Gross debt, per cent of GDP, 2026 estimate · currency and holder matter more than the level

Japan	235%		Yen debt, 90% held at home
Italy	138%		Euro debt, no printing press
United States	125%		Interest now exceeds defence
France	116%		Two downgrades since 2024
United Kingdom	105%		A quarter index-linked
China	95%		~120% with local vehicles
India	80%		Centre and states, in rupees
Germany	62%		Rising deliberately at last

METRIC 11 · DEBT TO GDP · COMMENTARY

RECENT TRAJECTORY

COVID added roughly 15-20 points everywhere; inflation then eroded 10 of them. Ratios are now drifting up again on interest cost alone.

US net interest passed \$1 trillion a year in 2025.

DIRECTIONS OF TRAVEL

Inflate it away: nominal growth above the coupon quietly shrinks the ratio, as in 1946-1973.

Grind higher: deficits near 7 per cent with 4 per cent nominal growth and the ratio compounds.

Bond-market discipline: the long end forces consolidation, as it did on Britain in 2022.

PRECEDENT

Britain 1945: 250 per cent of GDP, worked down over three decades by growth and financial repression, not austerity.

Greece 2010-12: 130 per cent in a currency it did not control, and a 53 per cent haircut for private holders.

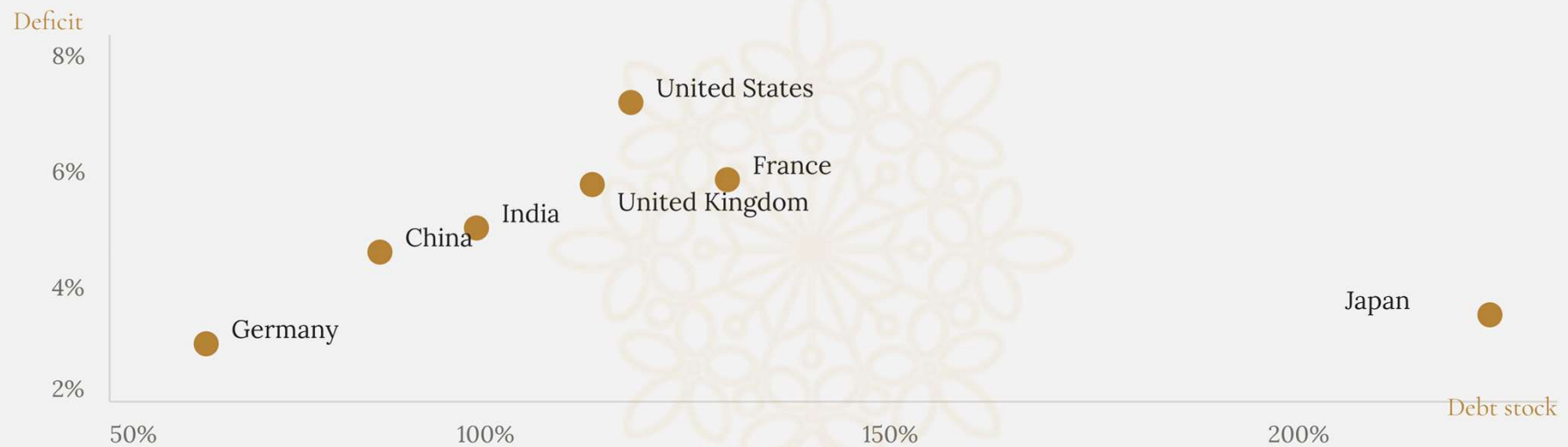
1 · Why can Japan carry 235 per cent while Greece broke at 130?

2 · Is there a level of debt that is too much, or only a rate that is too high?

3 · India runs a deficit every year and its debt ratio falls. How?

Fiscal deficit to GDP

General government balance against debt stock, 2026 estimate · the flow against the stock



India's central-government deficit is 4.4 per cent; general government including states is near 7.5 per cent.

METRIC 12 · FISCAL DEFICIT · COMMENTARY

RECENT TRAJECTORY

India has consolidated from 9.2 per cent in 2020-21 to 4.4 while raising capital spending — a rare combination.

The US has gone the other way: deficits near 7 per cent with unemployment near 4.

DIRECTIONS OF TRAVEL

Slow consolidation: ratios drift down on nominal growth without explicit austerity.

Structural widening: defence, ageing and interest costs add 2-3 points of GDP by the 2030s.

Forced adjustment: a failed auction or a downgrade does the arithmetic for the finance ministry.

PRECEDENT

India 1991: a deficit financed by monetisation ended in a balance-of-payments crisis and the reforms that followed.

United States 1998-2001: the last surplus, produced by a boom rather than a plan.

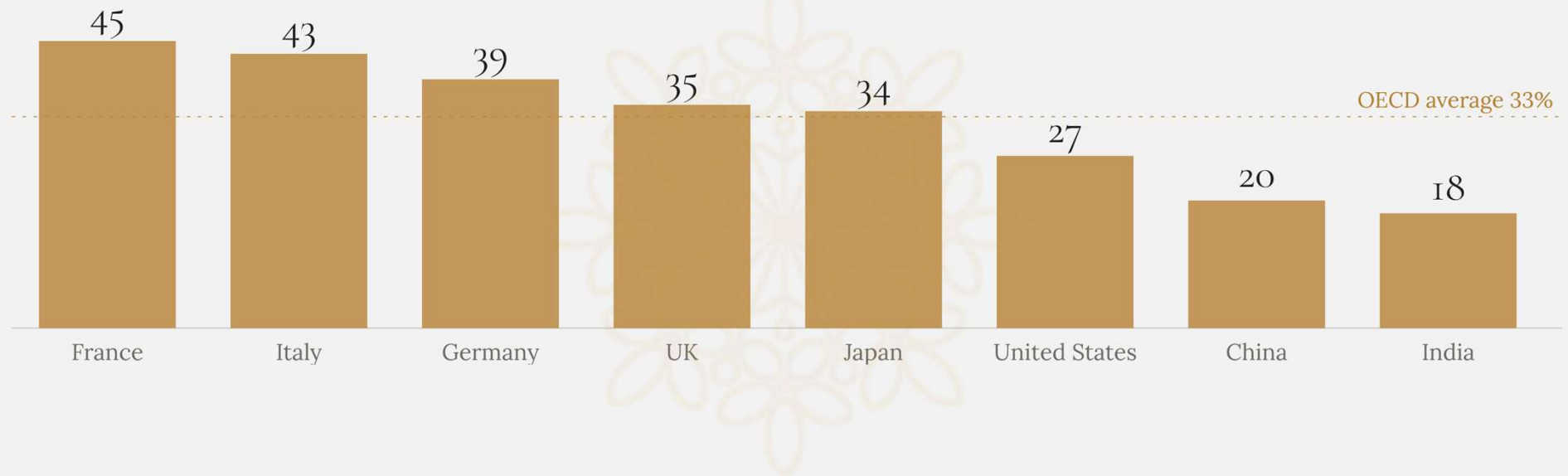
1 · When is a deficit an investment and when is it consumption?

2 · What is the case for worrying about a 7 per cent US deficit at full employment?

3 · Who forces a government to stop — voters, the currency, or the bond market?

Tax revenue to GDP

General government tax revenue, per cent of GDP · OECD average above 33 per cent



METRIC 13 · TAX REVENUE · COMMENTARY

RECENT TRAJECTORY

India's gross tax buoyancy has been above one since GST settled; direct taxes now exceed indirect for the first time in decades.

The OECD average has been flat for fifteen years.

DIRECTIONS OF TRAVEL

Formalisation: digital payments and GST data lift India towards 20-22 per cent without new rates.

Ageing pressure: developed economies must raise the take or cut promises; pensions decide it.

Tax competition: mobile capital and mobile people cap how far any single country can go.

PRECEDENT

2017: GST replaced a patchwork of state levies and lifted the indirect base, at the cost of two years of transition chaos.

Post-war Britain and Sweden built the modern welfare state by tripling the take in thirty years.

1 · Is India's 18 per cent a collection failure or a structural fact?

2 · Can a state deliver European services on Indian revenue?

3 · Broaden the base or raise the rates — which would you do first, and who objects?

Personal income-tax penetration

Share of population filing a personal income-tax return, latest available

7%

India

About 90 million returns;
roughly 2 per cent pay any tax

48%

United States

About 160 million returns;
roughly 40 per cent owe
nothing

46%

United Kingdom

About 31 million taxpayers,
mostly through payroll
withholding

50%+

Germany · France

Near-universal participation
via payroll and social levies

Why the gap: India's median income sits below the exemption threshold, agricultural income is exempt, and roughly half of output is informal. Formal payroll withholding is the mechanism that makes participation near-universal elsewhere.

METRIC 14 · INCOME-TAX PENETRATION · COMMENTARY

RECENT TRAJECTORY

India's returns filed have gone from about 30 million in 2013 to roughly 90 million – fast growth on a very small base.

Direct-tax collections have nonetheless grown faster than nominal GDP.

DIRECTIONS OF TRAVEL

Data-led widening: digital trails pull the self-employed into the net without a rate change.

Threshold politics: exemption limits rise with incomes and penetration stays where it is.

Indirect reliance: GST and fuel levies keep carrying the burden, with regressive consequences.

PRECEDENT

Britain 1944 introduced pay-as-you-earn withholding: participation is an administrative technology, not a moral achievement.

Brazil and Turkey show what a narrow direct base plus heavy indirect taxes does to inequality.

1 · What does it do to a democracy when 2 per cent of the population pays the income tax?

2 · How would you widen the base without raising a single rate?

3 · Does prosperity create the tax base, or does the tax base create prosperity?

Top personal income-tax rates

Top marginal rate including surcharges and local taxes, 2026

	HEADLINE	ALL IN	NOTE
Denmark	55%	55%	Top rate begins near average income
Japan	45%	55%	Plus 10 per cent local inhabitant tax
France	45%	49%+	Plus social contributions and high-income surtax
Germany	45%	47.5%	Including the solidarity surcharge
United Kingdom	45%	45%	Effective 60 per cent band between £100k and £125k
United States	37%	51%	Federal plus state and city — New York City at the top
India	30%	39%	Surcharge and cess; 42.7 per cent under the old regime
Singapore · Hong Kong	24% · 15%	Same	No capital-gains tax, no social levies of note

METRIC 15 · TOP PERSONAL RATES · COMMENTARY

RECENT TRAJECTORY

Top rates have been broadly stable for a decade; the action has moved to surcharges, thresholds and the treatment of capital.

India's new regime cut rates in exchange for giving up deductions.

DIRECTIONS OF TRAVEL

Capital, not labour: pressure shifts to capital gains, inheritance and wealth as labour rates max out.

Threshold drift: frozen bands raise effective rates without a vote — fiscal drag does the work.

Mobility competition: golden visas and zero-tax hubs cap the top end.

PRECEDENT

The US top rate was 91 per cent in 1963 and 28 per cent by 1988. Nothing about the current level is permanent.

France's 75 per cent millionaire tax lasted two years and was abandoned.

1 · Would you rather raise the rate or lower the threshold?

2 · At what marginal rate do high earners stop earning — or start leaving?

3 · Why is capital taxed more lightly than labour almost everywhere?

Corporate tax rates

Statutory rate on domestic corporates, 2026 · global average about 23 per cent, down from 40 in 1990

30%	25%	25.2%
Japan · Germany	United Kingdom · China	India
Including local trade taxes	UK raised from 19 in 2023; China has 15 for high-tech	22 base plus surcharge; 17.2 for new manufacturing
21%	17%	12.5% → 15%
United States	Singapore	Ireland
Federal; about 25.6 with state taxes	Effective rate lower still after incentives	15 for groups above €750m under Pillar Two
9%	15%	0%
United Arab Emirates	OECD global minimum	Bahamas · Cayman
Introduced in 2023 from a zero base	Pillar Two, on multinationals above €750m turnover	Fee-based fiscal models

METRIC 16 · CORPORATE TAX · COMMENTARY

RECENT TRAJECTORY

Forty years of falling rates ended around 2021. The UK raised its rate, the UAE introduced one, and Pillar Two set a floor.

Competition has shifted from rates to subsidies.

DIRECTIONS OF TRAVEL

Floor holds: effective rates converge on 15-20 per cent and tax havens lose their edge.

Subsidy war: chips, batteries and defence get paid to relocate instead of taxed lightly.

Fiscal need wins: ageing budgets push rates back towards 28-30 per cent.

PRECEDENT

September 2019: India's surprise cut added roughly 5 per cent to the Nifty in two sessions.

2017 US reform took 35 to 21 and triggered a repatriation wave and record buybacks.

1 · India's 2019 cut lifted earnings immediately. Did it lift investment?

2 · Does a 15 per cent global minimum end tax competition, or relocate it?

3 · Why do so few large companies pay the statutory rate?

States with little or no personal income tax

Three business models for a treasury that does not tax wages

HYDROCARBON RENTS

UAE · Saudi Arabia · Qatar · Kuwait
· Bahrain · Oman

The state owns the resource, so it takes its share upstream rather than from payslips. Oil and gas still fund 60-80 per cent of Gulf budgets.

Direction of travel: the UAE introduced 5 per cent VAT in 2018 and a 9 per cent corporate tax in 2023; Saudi Arabia needs Brent near \$90 to balance its budget. Zero-tax is a function of rents, and rents deplete.

SMALL POPULATIONS, LARGE RENTS

Brunei · Monaco · Bahamas

Divide a moderate revenue base by a few hundred thousand people and the per-head figure removes the need for income tax entirely.

FINANCIAL CENTRES

Cayman Islands · Bermuda · BVI

Revenue comes from registration fees, work permits, duties and licensing. The product is legal domicile, not public services.

METRIC 17 · ZERO-TAX STATES · COMMENTARY

RECENT TRAJECTORY

The Gulf has been quietly building a tax system for a decade: VAT, excise, corporate tax, and fees on expatriate labour.

Dubai has become a magnet for high earners leaving the UK and Europe.

DIRECTIONS OF TRAVEL

Gradual normalisation: broader indirect taxes first, personal income tax last and reluctantly.

Rent extension: gas, petrochemicals and sovereign fund returns delay the reckoning by a generation.

Transparency squeeze: global reporting standards erode the offshore-centre model.

PRECEDENT

Nauru: phosphate rents funded a state until the rock ran out. The clearest cautionary tale in public finance.

Norway chose the opposite path — high taxes plus a sovereign fund — and kept both the rent and the institutions.

1 · If a state does not need your money, does it need your consent?

2 · What happens to the Gulf model when oil demand peaks?

3 · Would you domicile a fund in Cayman today, knowing what you know about disclosure rules?

Sovereign credit ratings

Long-term foreign-currency ratings, 2026 · BBB- and above is investment grade

	RATING	STORY
Germany · Switzerland · Singapore	AAA	The shrinking club of the unquestioned
United States	AA+ / Aa1	Downgraded by S&P 2011, Fitch 2023, Moody's 2025
United Kingdom	AA-	Lost AAA in 2013; stable since the 2022 shock
China	A+	Negative outlooks on local-government debt
Japan	A+	Rated below Chile despite issuing its own reserve-grade currency
Italy	BBB+	Upgraded in 2025 — spreads at record lows
India	BBB	Upgraded from BBB- in 2025 after eighteen years
Brazil · Turkey	BB / BB-	High yield — index exclusion raises the cost of everything

METRIC 18 · SOVEREIGN RATINGS · COMMENTARY

RECENT TRAJECTORY

The triple-A club has shrunk to about nine sovereigns. Downgrades have hit the largest borrowers while upgrades have gone to emerging Asia and southern Europe.

India's 2025 upgrade was its first in eighteen years.

DIRECTIONS OF TRAVEL

India to A-grade: a falling debt ratio and steady consolidation get there late this decade.

Developed drift down: ageing and defence spending push more sovereigns from AAA to AA.

Irrelevance: markets increasingly price sovereigns off CDS and swap spreads, not letters.

PRECEDENT

August 2011: S&P cut the US to AA+ and Treasuries rallied. The market disagreed with the agency and was right.

2010-12: the agencies downgraded euro-area sovereigns into the crisis they were describing.

1 · Can a country that prints its own currency ever truly default?

2 · If markets ignore ratings, why does a one-notch change still move billions?

3 · What would India have to do to be rated A?

O4

The external accounts



Current account · Reserves · Trade openness · Sovereign funds · Gold

METRIC 19 · THE EXTERNAL ACCOUNTS

Current-account balance

Per cent of GDP, 2026 estimate · a deficit here is a capital-account surplus by definition

SURPLUS — SAVING MORE THAN THEY INVEST

Germany	+6.0%
Japan	+4.0%
Korea	+3.5%
China	+1.5%

China's surplus is small in ratio terms and enormous in dollars — roughly \$400 billion a year.

DEFICIT — INVESTING MORE THAN THEY SAVE

United States	-3.5%
United Kingdom	-3.0%
India	-1.0%
Brazil · Turkey	-2%

India: annualised, roughly \$205 billion of net services exports and \$160 billion of remittances against an oil bill above \$170 billion.
Latest print: -0.5% of GDP in Q1 FY27.

METRIC 19 · CURRENT ACCOUNT · COMMENTARY

RECENT TRAJECTORY

India's deficit has stayed near or below 1.5 per cent for three years, held there by services exports that now rival goods imports.

Global imbalances are narrower than in 2007 but concentrated in fewer countries.

DIRECTIONS OF TRAVEL

Services cushion: global capability centres keep India's deficit under 2 per cent through the cycle.

Oil at 99: already worth about a point of GDP on the deficit; 120 would add another.

Tariff realignment: surpluses are politically taxed, and the adjustment happens through currencies.

PRECEDENT

India 2012-13: a 4.8 per cent deficit met a taper announcement, and the rupee fell 20 per cent in four months.

Thailand 1997: an 8 per cent deficit funded by short-term dollar debt started the Asian crisis.

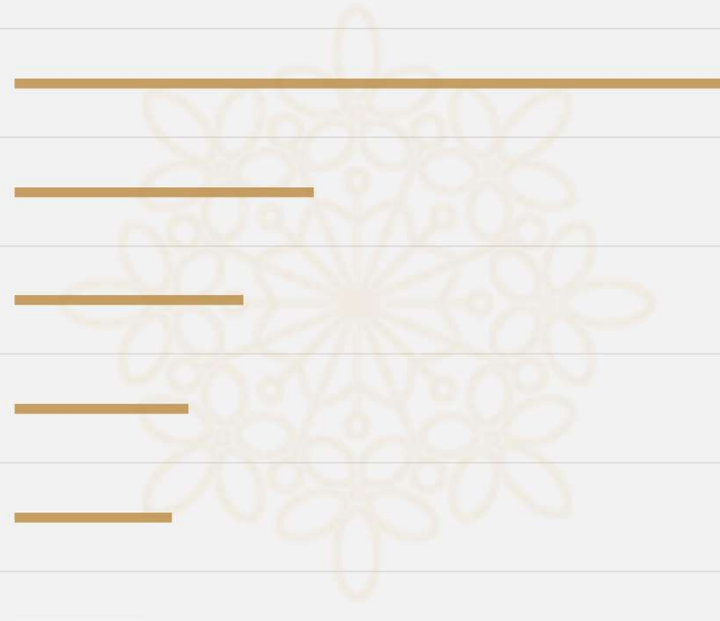
1 · When is a current-account deficit financing growth, and when is it financing consumption?

2 · Why has the US been able to run a deficit for forty straight years?

3 · Is Germany's surplus a strength or a symptom?

Foreign exchange reserves

Gross official reserves including gold, 2026 · read alongside months of import cover



China	\$3.3T		Plus state banks' offshore dollar holdings
Japan	\$1.25T		Used to intervene for the yen in 2022 and 2024
Switzerland	\$0.95T		A byproduct of capping the franc — larger than its GDP
India	\$741bn		A record on FCNR(B) inflows; ~11 months of cover
Russia	\$650bn		Roughly half immobilised since 2022
Taiwan · Saudi Arabia	\$600 · 440bn		Saudi reserves have fallen as spending has risen

India in 1991 reserves covered three weeks of imports; the June 2026 swap facility drew over \$136 billion.

RECENT TRAJECTORY

India's reserves have roughly doubled in a decade; the dollar's share of world reserves has fallen from 71 per cent in 2000 to about 57.

Gold's share of official reserves is at a thirty-year high.

DIRECTIONS OF TRAVEL

Quiet diversification: away from the dollar at the margin, into gold and other currencies, over decades.

Insurance inflation: emerging markets keep over-holding because the cost of a crisis is worse.

Payment plumbing: local-currency settlement and swap lines partly substitute for reserves.

PRECEDENT

1997: Thailand and Korea spent their reserves defending pegs and had to go to the IMF anyway.

2022: half of Russia's reserves were frozen in a weekend — the event that repriced reserve safety.

1 · How much insurance is enough, and by which test?

2 · What does India give up to hold \$700 billion in foreign assets?

3 · If reserves can be frozen, are they reserves?

Trade openness

Exports of goods and services, per cent of GDP, 2026 · who is exposed when trade policy changes



Singapore	175%		Entrepôt: exports exceed GDP because of re-exports
Vietnam	90%		The most tariff-exposed economy of scale in Asia
Netherlands	88%		Rotterdam effect — Europe's trade runs through it
Korea	44%		Semiconductors are a third of exports
Germany	43%		A large economy with a small economy's dependence
India	22%		Half of it services — harder to tariff
China	20%		Down from 36 per cent in 2006
United States	11%		The least trade-dependent major economy

METRIC 21 · TRADE OPENNESS · COMMENTARY

RECENT TRAJECTORY

World trade peaked at about 61 per cent of world GDP in 2008 and has flatlined since — slowbalisation rather than reversal.

Supply chains have lengthened through Vietnam, Mexico and India rather than shortened.

DIRECTIONS OF TRAVEL

Friend-shoring: trade continues but is re-routed, and the intermediaries capture the value.

Tariff escalation: average effective tariffs keep rising, and open economies wear the adjustment.

Services globalisation: the next wave is remote work and capability centres, not containers.

PRECEDENT

Smoot-Hawley 1930: tariffs on 20,000 goods, retaliation, and world trade fell by two-thirds in four years.

China's WTO accession in 2001 doubled its export share within a decade — the largest trade shock in history.

1 · Why can the United States use tariffs more cheaply than anyone else?

2 · Does openness make a country richer, or only more volatile?

3 · Can services exports be tariffed at all — and if not, what replaces the tariff?

Sovereign wealth funds

Assets under management, 2026 · roughly \$13 trillion across all state investors

	AUM	SOURCE OF THE SURPLUS
Norway — NBIM	\$1.9T	North Sea oil; owns about 1.5 per cent of all listed equity
China — CIC and SAFE	\$2.4T	Trade surpluses recycled through two vehicles
UAE — ADIA and Mubadala	\$1.4T	Hydrocarbons; now the most active private-market buyers
Saudi Arabia — PIF	\$950bn	Oil, spent substantially on domestic transformation
Singapore — GIC and Temasek	\$1.1T	Fiscal surpluses and reserves, not resources
Qatar — QIA	\$550bn	Liquefied natural gas; visible in European trophy assets

India has no comparable fund — it runs a deficit, so there is no surplus to capitalise. NIIF at roughly \$5 billion is a different animal.

RECENT TRAJECTORY

Gulf funds have become the marginal buyer in global private markets, and the Middle East now writes a fifth of the world's large private cheques.

Norway's fund has moved from bonds to about 70 per cent equities.

DIRECTIONS OF TRAVEL

Domestic pivot: Gulf funds increasingly invest at home to build post-oil economies.

Direct and alone: co-investment replaces fund commitments, and fee pools shrink.

Political scrutiny: screening regimes limit what state capital may own in strategic sectors.

PRECEDENT

2007-08: Gulf and Singaporean funds recapitalised Citigroup, UBS and Merrill Lynch — state capital as lender of last resort to Wall Street.

Venezuela and Nigeria: two oil windfalls with nothing to show for them.

1 · When should a country save a windfall rather than spend it?

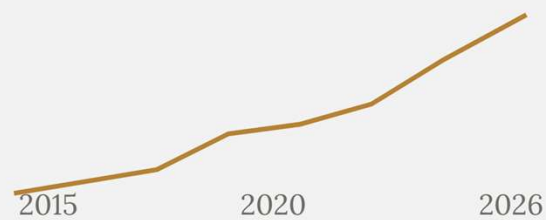
2 · What does it mean for markets when the patient money is also political money?

3 · Should India build a sovereign fund, and out of what?

Gold

\$4,420

per troy ounce, September 2026 · more than double the 2022 price



Central banks have bought roughly 1,000 tonnes a year since 2022 — about a quarter of annual mine supply.

OFFICIAL HOLDINGS, TONNES

United States	8,133
Germany	3,350
Italy · France	2,450
Russia	2,330
China	2,300
India — official	880
India — households	~25,000

METRIC 23 · GOLD · COMMENTARY

RECENT TRAJECTORY

Gold rose through a period of high real yields — historically the worst environment for it — because official buying replaced the usual marginal seller.

Gold's share of world reserves is back above 20 per cent.

DIRECTIONS OF TRAVEL

Reserve rebuild: official buying continues for a decade and the floor keeps rising.

Real-yield reassertion: credible disinflation and positive real rates take the shine off.

Monetary accident: a fiscal or currency scare and gold behaves like a currency, not a commodity.

PRECEDENT

1971: Nixon closed the gold window and the metal went from \$35 to \$850 by 1980 — the last time trust in money was repriced.

2011-2015: gold fell 45 per cent from its peak. It is not a one-way asset.

1 · How do you value an asset with no cash flow?

2 · Who has been buying, and are they price-sensitive?

3 · India's households hold 25,000 tonnes. Is that savings, or dead capital?

05

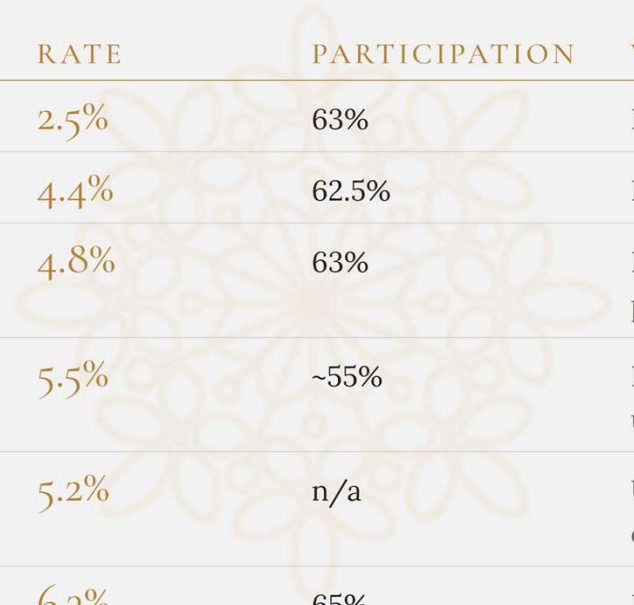
People and work



Unemployment · Population · Demographics · Household savings

Unemployment

Headline rate, latest prints · always read with the participation rate



	RATE	PARTICIPATION	WHAT IT HIDES
Japan	2.5%	63%	Labour shortage, not labour strength
United States	4.4%	62.5%	Immigration has been doing the heavy lifting
United Kingdom	4.8%	63%	Long-term sickness has removed a million people
India	5.5%	~55%	Female participation in the thirties; heavy under-employment
China	5.2%	n/a	Urban survey only; youth series near 17 per cent
Eurozone	6.3%	65%	Record low for the bloc; Spain still above 10

METRIC 24 · UNEMPLOYMENT · COMMENTARY

RECENT TRAJECTORY

The great surprise of this cycle: 500 basis points of tightening without mass unemployment anywhere in the developed world.

Hiring has slowed instead — a low-fire, low-hire equilibrium.

DIRECTIONS OF TRAVEL

Soft landing holds: rates fall, hiring resumes, and the rate never breaks 5 per cent.

Automation squeeze: entry-level white-collar hiring shrinks first and youth rates rise.

Shortage economy: ageing makes labour the scarce factor and wages the persistent inflation source.

PRECEDENT

1982 and 2009: US unemployment reached 10 per cent twice in forty years, and both times it took six years to recover fully.

Spain 2013: 26 per cent unemployment, and a lost cohort that still shows in its productivity.

1 · What is full employment, and how would you know you were at it?

2 · India's unemployment rate is low and its employment problem is large. Reconcile the two.

3 · Is 2.5 per cent unemployment in Japan good news?

Population

2026 estimate · world 8.2 billion, growing about 0.8 per cent a year

1.46bn

India

Still growing; peaks near 1.7bn in the 2060s

255m

Pakistan

1.41bn

China

Falling since 2022; roughly 9m births a year

240m

Nigeria — doubles by 2050

350m

United States

Growth entirely from immigration

215m

Brazil

290m

Indonesia

Fourth-largest, and under-owned in portfolios

125m · 84m

Japan · Germany, both shrinking

METRIC 25 · POPULATION · COMMENTARY

RECENT TRAJECTORY

World fertility has fallen below replacement in two-thirds of countries. China's births have halved in a decade; India's fertility is already at 2.0.

Peak world population estimates keep moving earlier — now the 2080s.

DIRECTIONS OF TRAVEL

Managed decline: ageing societies buy time with immigration and later retirement.

African century: half of net world population growth to 2050 comes from sub-Saharan Africa.

Faster collapse: fertility keeps undershooting forecasts, as it has in Korea and China.

PRECEDENT

China's one-child policy, 1980-2015: the largest deliberate demographic intervention in history, and its effects are only now arriving.

Japan's population peaked in 2008; its equity market has still not recovered its 1989 level in real terms.

1 · Is a shrinking population a problem for GDP, or for GDP per head?

2 · Has any country reversed a collapse in fertility?

3 · What must India do in the next twenty years that it cannot do after?

Demographics

Median age, share over 65, and the direction of the working-age population

	MEDIAN AGE	OVER 65	WORKING-AGE POPULATION
India	29	7%	Rising into the 2040s — about 8 million joining a year
Indonesia · Brazil	31 · 34	8-11%	Still rising, dividend window open
United States	39	18%	Flat to rising — entirely thanks to immigration
China	40	15%	Shrinking since 2015; roughly -0.5 per cent a year
Germany · Italy	47 · 49	22-24%	Shrinking; immigration the only offset
Japan	50	30%	Shrinking for two decades — the reference case

Young countries supply labour and demand goods. Old countries supply capital and demand yield. Every other series in this deck bends to that sentence eventually.

METRIC 26 · DEMOGRAPHICS · COMMENTARY

RECENT TRAJECTORY

China's workforce has been falling for a decade and its property market lost its first-time buyer. Japan's is a third smaller than in 1995.

US labour supply was rescued by immigration; that policy has now reversed.

DIRECTIONS OF TRAVEL

Lower for longer: excess savings from the old keep real rates depressed for decades.

Dissaving reversal: retirees draw down, savings gluts end, and real rates rise structurally.

Automation substitution: capital replaces the missing worker, and returns accrue to owners.

PRECEDENT

Japan 1990–2020: ageing plus deflation produced thirty years of flat nominal GDP and zero rates. The template everyone now studies.

East Asia 1970–2000: the same dividend India now has, converted into growth by manufacturing employment.

1 · Does ageing push real interest rates down, or eventually up?

2 · What turns a demographic dividend into a demographic liability?

3 · Which sectors would you own for the next twenty years of ageing?

Household savings

Savings as a share of income or output, latest available · savings equals investment plus the current-account balance

	RATE	WHY
China — households	~33%	Thin social safety net; precautionary saving against illness and old age
India — gross domestic	~30%	Households are the main savers; two-thirds of it now physical
France	18%	High and stable; a savings culture with state support
Germany	11%	Ageing savers, low home ownership, deposits over equities
Japan	5%	Retirees drawing down what they accumulated
United States	4.5%	Wealth effects substitute for saving; the world funds the gap

India's net household financial savings have fallen to roughly 5 per cent of GDP — the lowest in decades — as households borrow to buy property.

METRIC 27 · HOUSEHOLD SAVINGS · COMMENTARY

RECENT TRAJECTORY

The pandemic savings buffer has been spent everywhere. In India, savings have rotated from deposits into equities, insurance and property.

Household leverage is rising from a low base — about 40 per cent of GDP.

DIRECTIONS OF TRAVEL

Financialisation continues: systematic domestic flows keep supporting Indian equity valuations.

Leverage cycle: unsecured credit growth outpaces income and the regulator intervenes.

Chinese rebalancing: a real safety net releases consumption and narrows the global savings glut.

PRECEDENT

United States 2005-07: a savings rate near 2 per cent, a housing boom, and a household balance sheet that could not survive a price fall.

Japan post-1990: high savings met falling asset prices, and consumption never recovered.

1 · How can Americans save 4 per cent and stay solvent?

2 · What would actually make Chinese households spend?

3 · If Indian savings keep moving from deposits to equities, who funds the banks?

06

Money and markets



Credit and money growth · Market capitalisation · Index levels and valuation

Credit and money growth

Year on year, latest prints · compare each against that economy's nominal GDP growth

	CREDIT	BROAD MONEY	NOMINAL GDP	READING
India	11%	10%	10-11%	In balance; unsecured retail watched closely
China	8%	8%	4%	Credit pushed, not pulled; stock near 300% of GDP
United States	4%	4%	4-5%	Bank credit slow; private credit doing the lending
Eurozone	3%	3%	3%	Weak demand for credit, not weak supply
Japan	3%	2%	3%	First real credit cycle in thirty years

Total non-financial debt: China about 300 per cent of GDP, US about 250, India about 180. The stock matters as much as the flow.

METRIC 28 · CREDIT AND MONEY · COMMENTARY

RECENT TRAJECTORY

US M2 grew 25 per cent in 2020 and then contracted for the first time since the 1930s. Inflation followed both moves with a lag.

Private credit has grown to roughly \$2 trillion, mostly outside bank regulation.

DIRECTIONS OF TRAVEL

Orderly expansion: credit grows with nominal GDP and nothing interesting happens.

Non-bank stress: the first default cycle in private credit tests marks that have never been tested.

Chinese deleveraging: credit stops being pushed, and nominal growth falls further before it stabilises.

PRECEDENT

2003-2007: US mortgage credit grew at twice nominal GDP for four years. Every credit crisis looks obvious afterwards and reasonable at the time.

India 2010-2014: infrastructure lending produced a decade of bad-loan clean-up.

1 · Does money growth still tell you anything about inflation?

2 · How fast is too fast for credit growth, and who decides?

3 · If banks no longer hold the risky loans, who does?

Stock-market capitalisation to GDP

Listed domestic market value as a share of GDP, 2026 · a global numerator over a domestic denominator

Switzerland · Taiwan	~250%		A handful of global champions over a small economy
United States	215%		Roughly two-thirds of world market value on 27% of world GDP
Japan	150%		Governance reform has re-rated the whole market
India	120%		Was 55 per cent in 2013 — one of the fastest re-ratings anywhere
United Kingdom	100%		Shrinking listings; a decade of de-equitisation
China	65%		Growth has accrued to the state and to unlisted firms
Germany	55%		Mittelstand ownership stays private and bank-financed

METRIC 29 · MARKET CAP TO GDP · COMMENTARY

RECENT TRAJECTORY

The US share of world market value has risen from 40 per cent in 2010 to about two-thirds — the greatest concentration in modern index history.

India has become the fourth or fifth largest market by value.

DIRECTIONS OF TRAVEL

Profit share holds: corporate profits stay near record shares of GDP and the ratio is justified.

Mean reversion: labour, tax or competition reclaims margin, and the ratio compresses hard.

Deepening elsewhere: India, Japan and the Gulf keep listing what was private.

PRECEDENT

Japan 1989: market capitalisation reached about 140 per cent of GDP and 45 per cent of world market value. It took thirty-four years to see that index level again.

US 2000: the ratio peaked at 150 per cent, then fell by half in three years.

1 · Is this ratio comparable across countries at all?

2 · How much of India's re-rating is profits, and how much is flows?

3 · Germany's market is small and its economy is not. What does that tell you about ownership?

Index levels and valuation

September 2026 · forward price-to-earnings on consensus estimates



	LEVEL	FORWARD P/E	WHAT YOU ARE PAYING FOR
S&P 500	7,700	22×	Ten companies are a third of the index
Nifty 50	23,650	19×	About 10 per cent below its 26,373 high
Nikkei 225	65,300	18×	Past its 1989 peak at last, on buybacks and governance
DAX 40	25,900	15×	Cheap for a reason: mix, not mispricing
FTSE 100	10,800	13×	Energy, banks, miners — and a 4 per cent dividend yield
CSI 300	4,600	14×	Cheap, and priced for policy risk

At 22 times forward earnings the earnings yield is 4.5 per cent against a 4.8 per cent Treasury. The equity risk premium is negative on that arithmetic.

METRIC 30 · INDEX LEVELS · COMMENTARY

RECENT TRAJECTORY

Three years of double-digit returns driven by a narrow group of companies — and a 10 per cent give-back in India as rate expectations turned.

Japan finally cleared its 1989 high; Europe and China have not re-rated.

DIRECTIONS OF TRAVEL

Earnings catch up: profits grow into the multiple and returns are simply lower, not negative.

Multiple compression: a rate or growth shock takes 20-30 per cent off the leaders.

Broadening: laggard markets and sectors close the gap without the leaders falling.

PRECEDENT

March 2000: the S&P at 25 times forward earnings, followed by a decade of roughly zero nominal return.

Nifty 2008: 25 times earnings before a 60 per cent drawdown. Valuation does not time markets, but it sets the range of outcomes.

1 · Would you own equities at a negative risk premium? On what argument?

2 · Is index concentration a risk, or the reward for owning the winners?

3 · What has to be true for India's premium to survive the decade?

07

Commodities and energy



Crude oil and import dependence · Energy mix

Crude oil and import dependence

Brent near \$99 a barrel, September 2026 · net import dependence, share of consumption

DEPENDENT — THE PRICE TAKERS

Japan · Korea	~97%
European Union	~95%
India	88%
China	72%

At \$99 Brent, India's oil bill runs above \$170 billion a year. Every \$10 on Brent costs roughly 0.4 per cent of GDP.

INDEPENDENT — THE PRICE MAKERS

Saudi Arabia · Qatar	Net exporters; the swing capacity
Russia	~9.5 mb/d, sold at a discount
United States	~13.5 mb/d crude; net exporter since 2020
Norway · Brazil · Canada	Exporters; fiscal budgets tied to the price

Saudi Arabia needs Brent near \$90 to balance its budget — for once, it is getting it.

METRIC 31 · CRUDE OIL · COMMENTARY

RECENT TRAJECTORY

Brent has broken out of its three-year sixty-to-ninety range: Middle East strikes have carried it near a hundred dollars, the highest since 2022.

India has bought discounted Russian barrels since 2022.

DIRECTIONS OF TRAVEL

De-escalation: supply returns, the futures curve is right, and Brent falls back into the seventies.

Supply shock: a Gulf disruption puts Brent above 120 and rewrites every emerging-market forecast.

Demand peak: electrification erodes demand and the marginal producer's fiscal model breaks first.

PRECEDENT

1973 and 1979: embargo and revolution quadrupled and then doubled the price, and produced a decade of stagflation.

April 2020: WTI settled at minus 37 dollars. Storage, not geology, set the price that day.

1 · Trace \$10 on Brent through India's current account, CPI, fisc and currency.

2 · Who sets the oil price now — OPEC, or Texas?

3 · If demand peaks this decade, does the price fall — or spike first?

Energy mix

Sources of electricity generation, latest available · the transition is a grid question before it is a policy question

	COAL	LOW-CARBON	CHARACTER OF THE GRID
India	70%	25%	Renewables are about 46 per cent of capacity but far less of output
China	55%	40%	The largest coal fleet and the largest solar build, simultaneously
Germany	22%	60%	High renewables, no nuclear, the highest industrial power prices in the G7
United States	15%	42%	Cheap gas did most of the decarbonisation, not policy
France	1%	90%	65 per cent nuclear — built in the 1970s for energy security
Norway · Brazil	0%	95% · 88%	Hydrology as national infrastructure

Per-capita emissions: US about 14 tonnes, China 8, EU 6, India 2. The transition question is who owns the remaining budget.

RECENT TRAJECTORY

Solar has become the cheapest new generation almost everywhere, and yet coal-fired output keeps setting records because total demand is growing faster.

Data-centre load is the new swing factor in developed grids.

DIRECTIONS OF TRAVEL

Additive transition: renewables meet growth while fossil output plateaus rather than falls.

Firm-power revival: nuclear, storage and gas peakers get repriced as the cost of reliability becomes visible.

Carbon borders: CBAM-style tariffs make emissions a trade variable for Indian exporters.

PRECEDENT

France 1974-1990: fifty-six reactors in sixteen years after the oil shock – the fastest decarbonisation in history, done for security rather than climate.

Germany 2011-2023: the nuclear exit, and the price of getting the sequence wrong.

1 · Can India grow at 6 per cent without burning more coal?

2 · What did Germany actually pay for its energy transition?

3 · If electricity demand grows for the first time in twenty years, what do you own?

REVISION

Episodes worth knowing

Attach every number in this deck to at least one of these



Magnitude. Direction. Mechanism.

Anyone can look up a number. You are being hired for the third one.

